

24. (2.75 points)

An insurance company is setting planned written premium volume and loss ratios by line of business for the upcoming year.

a. (1 point)

Briefly discuss two potential shortcomings of a traditional unilateral planning approach in which one version of “the plan” is set.

b. (0.75 point)

Explain how scenario planning could be used in this situation.

c. (1 point)

Describe two advantages to using scenario planning over a traditional unilateral planning approach.

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EXAM 7 SPRING 2017 SAMPLE ANSWERS AND EXAMINER'S REPORT

QUESTION 24	
TOTAL POINT VALUE: 2.75	LEARNING OBJECTIVE(S): C7
SAMPLE ANSWERS	
Part a: 1 point	
<u>Sample Responses include:</u> • If conditions worsen, underwriters will do whatever it takes to “make plan” (i.e., sell at inadequate price), leading to poor underwriting performance in the long run. • When actual conditions deviate from expected, management is reluctant to change estimates, thus booked loss numbers become more out of line with reality. • Loss ratios can be selected to be too optimistic, which can later result in higher losses than expected to due reserve development if we use a B-F approach to project the reserve. • A suboptimal portfolio mix may result. If management had known that the true loss ratio would be worse than the plan for a segment, they would have lowered the target premium volume for that segment. • If the company enters a different part of the insurance/underwriting cycle, the plan numbers could cause management to not act appropriately. For example, entering soft cycle and management encouraging growth to meet premium volume plan could be detrimental to quality of book. • The expected prior loss ratio in the plan may be based on prior years. If those prior years develop adversely, our plan may be too difficult to achieve (i.e., the plan was based on prior years which were too optimistic). • Plan loss ratios can highly correlated to prior years that may be inadequately reserved when budgeting is performed due to the bridging process.	
Part b: 0.75 point	
<u>Sample Responses include:</u> • Scenarios of the future state of the insurance market can be presented to management. Based on these scenarios, management can identify actions and goals they would like to achieve given the scenario. The plan can be set at the beginning of the year to align with the scenario that matches the current state. Then periodically, the state of the market will be evaluated and the goals and actions identified in the closely matched scenario will become the new plan. • Scenarios could be created for different marketplace conditions and best “plans” or goals could be thought out beforehand. This could allow “the plan” to change as the marketplace changes and save time when/if things change during the year so the company can be quick to respond. Set different expected loss ratios and WP targets by line for each scenario in order to maximize firm value. • Company could develop different scenarios (e.g., high, low, mid profitability). Then create responses to each scenario (e.g., grow, shrink, maintain WP). Then monitor situation and act according to which scenario emerged during the year. • The company could lay out a number of likely scenarios and develop plans for each. Then, if conditions change during the year, the company can shift to one of its alternate plans. For example, if the market turns soft during the year, the company can shift to a plan where premium volume decreases. • Under scenario planning, several scenarios will be defined and a likelihood or probability	

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will be assigned to each. The company prescreens these and come up with agreed responses for each scenario, in sufficient detail to be implemented. The company then monitors the environment to determine which action plan needs to be implemented.
Part c: 1 point
<u>Sample Responses include:</u> • Since responses to different outcomes have been discussed ahead of time, management can quickly implement actions in event of a crisis. • Due to the added flexibility of additional plans, organizational inertia is avoided and managers feel more comfortable reporting numbers that deviate from the original plan. • Scenario planning forces the company to think through different significant events/external conditions and how they can potentially impact parts of the company. • Management has already discussed how they want to react in different market scenarios, so these plans are ready if market conditions do change (not figuring out strategy on the fly). • Underwriters will be less likely to take on risky business if they know their job performance will not be evaluated on meeting a single out-of-date plan in a soft market. • Allows for flexibility of underwriting incentives and goals based on the current state of the insurance market which will help the insurer's long-term profitability. • Can help create flexibility for deviation in results and remove organizational inertial since decisions have been agreed and discussed already. • Decreases the pressure to "make plan" no matter what, since it proposes changes if the environment dictates it.
EXAMINER'S REPORT
Candidates were expected to know how to describe operational risk and demonstrate possible mitigation and quantification methodology within the context of scenario planning.
Part a
Candidates were expected to demonstrate knowledge of two potential disadvantages of traditional unilateral planning. Common errors include: • Restating the same response that had been provided in part c. of this question as an advantage of scenario planning, but just rephrasing that concept to express an opposite disadvantage of unilateral planning. • Presenting a single drawback of unilateral planning with different phrasing in two separate responses to this question part. • Mentioning technical modeling concepts such as variables correlations, correlations among LOBs, inability to assess risk levels, etc. that would not be potential drawbacks unique to traditional unilateral planning. • Simply stating that the traditional unilateral planning approach is a single point estimate that does not give multiple scenarios or outcomes to review. • Stating only that the unilateral plan could miss significant scenarios that could result in unexpected loss to the company.
Part b
Candidates were expected to demonstrate knowledge of the three key steps in applying scenario planning within an insurance environment.

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Common errors included:

- Not providing the final step of scenario planning to be implemented in an insurance environment.
- Stating that the company should develop scenarios for loss ratios without any mention of developing company action plans for each scenario.
- Stating only that scenario planning can help management think through different possibilities in what could happen in the market including tort reform, inflation, a catastrophe, etc.

Part c

Candidates were expected to demonstrate knowledge of two potential advantages of scenario planning within an insurance environment.

Common errors include:

- Restating the same response that had been provided in part a. of this question as a disadvantage of unilateral planning, but just rephrasing that concept to express an opposite advantage of scenario planning.
- Presenting a single advantage of scenario planning with different phrasing in two separate responses to this question part.
- Mentioning technical modeling concepts such as variables correlations, correlations among LOBs, inability to assess risk levels, etc. that could apply under any planning approach.
- Simply stating that scenario planning provides multiple points of view of the range of outcomes.